IN THE NATIONAL COMPANY LAW TRIBUNAL
AHMEDABAD
DIVISION BENCH
COURT - 1

ITEM No.203

C.A.(CAA)/9(AHM)2023

Proceedings under Section 230-232

IN THE MATTER OF:

Piccolo Mosaic Ltd
Italia Ceramics Ltd

.....Applicants

Order delivered on: 17/07/2023

Coram:

Mr. Shammi Khan, Hon'ble Member(J)
Mr. Kaushalendra Kumar Singh, Hon'ble Member(T)

PRESENT:

For the Applicant :
For the Respondent :

ORDER

The case is fixed for pronouncement of the order. The order is pronounced in the open court, vide separate sheet.

-sd-

KAUSHALENDRA KUMAR SINGH
MEMBER (TECHNICAL)

-sd-

SHAMMI KHAN
MEMBER (JUDICIAL)

NATIONAL COMPANY LAW TRIBUNAL
AHMEDABAD
DIVISION BENCH
COURT-1

C.A.(CAA) No.9/230-232/NCLT/AHM/2023

[In the matter of Sections 230-232 and other applicable provisions of the Companies Act, 2013 read with Companies (Compromises, Arrangements, and Amalgamations) Rules, 2016]

Scheme of Arrangement in the nature of

Amalgamation

of

Piccolo Mosaic Limited
(Transferor Company)

with

Italia Ceramics Limited
(Transferee Company)

In the matter of:

Piccolo Mosaic Limited

A Company incorporated under the provisions of the Companies Act, 1956, having its registered office at 405, 4th Floor, Samaan II, 100 Ft Road, Anandnagar, Ahmedabad- 380 051, Gujarat.

.... Transferor Company

With

Italia Ceramics Limited

A Company incorporated under the provisions of the Companies Act, 1956, having its registered office at 401-403, 4th Floor, Saaman II, 100 Ft Road, Anandnagar, Ahmedabad-380051, Gujarat.

.... Transferee Company

Order Pronounced on: 17.07.2023

Coram: Shammi Khan, Hon'ble Member (Judicial)
Kaushalendra Kumar Singh, Hon'ble Member (Technical)

Appearance:

For the Applicant Companies: Dr. Hiten Parikh, PCA,
Mr. Sanjay Majmudar, PCA
Mr. Vivek Zalavadiya, PCA

ORDER

1. The present application is filed under Sections 230 and 232 and other relevant provisions of the Companies Act, 2013 (hereinafter referred to as the **'Act'**) and read with Companies (Compromise, Arrangements and Amalgamations) Rules, 2016, seeking dispensation of the meetings of the Equity Shareholders of the Transferor and Transferee Company and Seeking Directions for holding and convening the meetings of Secured Creditor and Unsecured Creditor of the Transferor Company and Transferee Company in respect of Scheme of Arrangement in the nature of Amalgamation between the Transferor Company and Transferee

Company. There are 7 Secured Creditors in the Transferor Company and 11 Secured Creditors in the Transferee Company. There are 2206 Unsecured Creditors in the Transferor Company and 435 Unsecured Creditors in the Transferee Company. Therefore, the applicant Companies are seeking direction for convening and holding meeting for the purpose of considering and, if thought fit, approving, with or without modification(s), a Scheme of Arrangement in the nature of Amalgamation of Piccolo Mosaic Limited *(for brevity "PML"*) (Transferor Company) with Italia Ceramics Limited *(for brevity "ICL")* (Transferee Company) with effect from the Appointed Date, i.e. 01.04.2022, as mentioned in the Scheme.

2. An Affidavit has been sworn by Mr. Manoj Satyanaran Poddar on behalf of the Transferor Company as well as the Transferee Company who is the authorized signatory of both the Companies, and the same is annexed with the application. The above-named authorized representative for the Transferor Company and Transferee Company has been authorized vide Board Resolution dated 16.12.2022 of both applicant Companies.

3. The averments made by the Applicant Companies are summarized as under:-

   I. The Board of Directors of the Applicant Companies vide resolutions dated 16.12.2022 have approved the said Scheme. The said Board Resolutions are filed and produced at Annexure-F.

   II. The registered office of both the Applicant Companies is situated in the State of Gujarat, and is under the

jurisdiction of the National Company Law Tribunal, Bench at Ahmedabad.

III. The Transferor Company, viz., Piccolo Mosaic Limited was originally incorporated on 01.11.2000 vide CIN No. U26911GJ2000PLC038859 with the name and style of "Griffine Ceramics Limited" under the provisions of the Companies Act, 1956 in the State of Gujarat. Thereafter, the company's name has been changed to "Piccolo Mosaic Limited". The registered address of the Transferor Company is at 405, 4th Floor, Samaan II, 100 Ft Road, Anandnagar, Ahmedabad- 380 051, Gujarat. The Authorized Share Capital of the Transferor Company as on 31.03.2022 is Rs.9,93,00,000/- divided into 59,00,000 Equity Shares of Rs.10/- each and 40,30,000 Preference Shares of Rs.10/- each. The issued, Subscribed and Paid up Equity Share Capital of the Company is Rs.4,44,00,300/- divided into 44,40,030 Equity Shares of Rs.10/- each.

IV. The Transferee Company, viz., *Italia Ceramics Limited* was originally incorporated on 27.12.1991 vide CIN No. U26920GJ1991PLC016852 with the name and style of *Italia Ceramics Private Limited* under the provisions of the Companies Act, 1956 in the State of Gujarat. Thereafter, the company's name has been changed to *"Italia Ceramics Limited"*. The registered address of the Transferee Company is at 401-403, 4th Floor, Samaan II, 100 Ft Road, Anandnagar, Ahmedabad- 380 051, Gujarat. The Authorized Share Capital of the Transferee Company as on 31.03.2022 is Rs.7,74,00,000/- divided into 37,40,000

Equity Shares of Rs.10/- each and 40,00,000 Preference Shares of Rs.10/- each. The issued, Subscribed and Paid up Equity Share Capital of the Company is Rs.7,74,00,000/- divided into 37,40,000 Equity Shares of Rs.10/- each and 40,00,000 Preference Shares of Rs.10/-.

V. As per the Memorandum of Association of the Transferor Company, the company is mainly engaged in carrying on the business to manufacture, produce, treat, process ,design, develop, build, compound, cure, crush, distribute, extract, excavate, finish, formulate, grind, handle, fabricate, import, export, purchase, sale, jobwork, mix, modify, operate, prepare and to act as brokers, stockiest, wholesalers, retailers, agents, consignors, consignees indenters, packers, movers, preserves, concessionaires, C&F agents or otherwise deal in all types, sizes varieties, specification, description, kinds and nature mentioned in the sub clause 1(A-I) of Clause A of Memorandum of Association.

VI. As per the Memorandum of Association of the Transferee Company, the company is mainly engaged in carrying on business as manufacturers, dealers, traders, suppliers, stockiest, retailers, exporters, importers, factors, agents, consignors, consignees, indenters of all classes, kinds types and nature mentioned in the sub clause 1(i to ix) of Clause A of the Memorandum of Association.

VII. Applicant Companies are empowered by their respective Memorandum of Association and Articles of Association to enter into a Scheme of Arrangement in the Nature of

Amalgamation. Copies of Memorandum and Articles of Association of both the applicant Companies are annexed as Annexure A and Annexure C respectively in the application. The Audited Financial Statements as on 31.03.2022 and Unaudited Provisional Financial Statements as on 30.09.2022 of both applicant Companies are placed on record.

VIII. The Board of Directors of both the applicant Companies have approved the Scheme of Arrangement in the nature of Amalgamation at their respective Board meeting held on 16.12.2022. Copies of respective Board Resolutions passed on 16.12.2022 of both the applicant Companies are placed on record.

4. The Rationale and Object of the Scheme of Arrangement in the Nature of Amalgamation are stated as under: -

i. PML and ICL are part of "Italia Group" and the shareholdings are held by Poddar Family who are the promoters of Italia Group and part of the Equity Shares and entire Preference Shares of ICL are held by PML.

ii. As an important step towards achieving cost efficiency the proposed amalgamation would help to achieve the following synergies in terms of cost, time and operations:

iii. Create a unified structure, instead of separate entities and thereby maintain a simple corporate structure and eliminate duplicate corporate procedures;

iv. Both the companies are in the same segment of manufacturing of tiles with different products and having their own presence in the market and therefore it can effectively utilize common infrastructure such as power, effluent treatment plant, common marketing network, usage of certain key raw materials between both the units so as to effectively reduce the overall cost.

v. Significant reduction in the multiplicity of legal and regulatory compliances and thereby result in cost efficiency and reduction in secretarial costs;

vi. The common requirements under various divisions can be combined which will provide better bargaining power, improvement in time management at all levels, reduce purchase & transaction cost and limited documentation requirement;

vii. Many functions which are currently handled company-wise and/or division-wise can be combined, resulting into right sizing of the organization. Costs for different types of audit

works including statutory audit, internal audit, cost audit, secretarial audit, Tax audit, etc. can go down upon reduction in number of legal entities;

viii. Consolidation of the business would result into business synergies and eliminate Inter-company transactions;

ix. Upon Consolidation of business, it would help in utilization of customer relationships and resources at single entity level. This can have a better reach in terms of wider customer base and will provide a stronger market position;

x. Reduction in various costs on account of consolidation of entities and operations would thus provide financial stability and sustainability;

xi. The consolidation will result in better utilization of funds and resources within "Italia Group";

xii. Such a consolidation will thus result in strengthening the group's capability to best administer the business operations, structure the entities to support the group's growth strategy and reflect a true and fair enterprise value;

5. With Respect to the Transferor Company, it is stated that:

i. There are 14 equity shareholders as on 06.01.2023 and certificate from Chartered Accountant certifying the list of shareholders is annexed with the application. The copy of the consent affidavit from all the equity shareholders is placed on record. Hence, the Transferor Company is seeking dispensation for holding the meeting of equity shareholders.

ii. There are 7 secured creditors and 2206 unsecured creditors as on 31.12.2022 and certificate from Chartered Accountant Certifying the List of secured and unsecured creditor is annexed with the application. The transferor Company is praying for direction for holding and convening the meetings of secured and unsecured creditors.

6. With respect to the Transferee Company, it is stated that:

i. There are 15 equity shareholders as on 06.01.2023 and certificate from Chartered Accountant certifying the list of shareholders is annexed with the application. The copy of the consent affidavit from all the equity shareholders is placed on record. Hence, the Transferee Company is seeking dispensation for holding the meeting of equity shareholders.

ii. There is a sole preference shareholder as on 06.01.2023 and certificate from Chartered Accountant certifying the list of

shareholders is annexed with the application. The copy of the consent affidavit from the sole preference shareholder is placed on record. Hence, the Transferee Company is seeking dispensation for holding the meeting of preference shareholder.

iii. There are 11 secured creditors and 435 unsecured creditors as on 31.12.2022 and certificate from Chartered Accountant Certifying the List of secured and unsecured creditors is annexed with the application. The transferee Company is praying for direction for holding and convening the meetings of secured and unsecured creditors.

7. The Transferor Company and Transferee Company provided certificate from Statutory Auditors confirming that the proposed accounting treatment conforms to the applicable Accounting Standards under Section 133 of the Companies Act, 2013 and a copy of the same is annexed with the application.

8. It is submitted by the applicant Companies that the turnover of both the companies is less than 1000 crores and total assets being acquired is less than the 350 crores as per the latest audited financial statements. Hence, the Competition Commission of India Regulations, 2011 are not applicable.

9. It is submitted that none of the applicant Companies are listed. Hence, no notice is required to be issued to the Securities and Exchange Board of India. It is further submitted that both the companies are incorporated and domiciled in India and there are no foreign shareholders or Non-Resident Shareholders in the applicant Companies. Hence, notice is not required to be issued to the Reserve Bank of India.

10. It is stated that no investigation/proceedings are pending against the Applicant Companies, under Sections 210 -217, 219, 220, 223 to 227 of the Companies Act, 2013 and/or Sections 235 to 251 of the Companies Act, 1956. Further, it is stated that there are no winding up proceedings pending against the Applicant Companies.

11. Taking into considerations the submissions and the documents filed therewith, we issue the following directions:

(i) The meetings of Equity Shareholders of the Applicant Companies are hereby dispensed with in view of the consent affidavits attached with the application.

(ii) The meetings of Preference Shareholders of the Applicant Transferee Company is hereby dispensed with in view of the consent affidavit attached with the application.

(iii) We direct to the Applicant Companies for holding and convening the meetings of Secured Creditors and Unsecured Creditors of the Applicant Companies as under;

a) Meetings of Secured Creditors of the Transferor Company shall be convened and held on 25th August, 2023 at 401 to 403 & 405, 4th Floor, Samaan II, 100 Ft. Road, Anand Nagar, Ahmedabad - 380051 Gujarat for the purpose of considering and, if thought fit, approving the Scheme of Arrangement in the nature of Amalgamation, with or without modification(s).

b) Meetings of Unsecured Creditors of the Transferor Company shall be convened and held on 25th August, 2023 at 401 to 403 & 405, 4th Floor, Samaan II, 100 Ft. Road, Anand Nagar, Ahmedabad - 380051 Gujarat for the purpose of considering and, if thought fit, approving the Scheme of Arrangement in the nature of Amalgamation, with or without modification(s).

c) Meetings of Secured Creditors of the Transferee Company shall be convened and held on 25th August, 2023 at 401 to 403 & 405, 4th Floor, Samaan II, 100 Ft. Road, Anand Nagar, Ahmedabad - 380051 Gujarat for the purpose of considering and, if thought fit, approving the Scheme of Arrangement in the nature of Amalgamation, with or without modification(s).

d) Meetings of Unsecured Creditors of the Transferee Company shall be convened and held on 25th August, 2023 at 401 to 403 & 405, 4th Floor, Samaan II, 100 Ft. Road, Anand Nagar, Ahmedabad - 380051 Gujarat for the purpose of considering and, if thought fit, approving the Scheme of Arrangement in the nature of Amalgamation, with or without modification(s).

12. The Applicant Companies are further directed to issue a notice in compliance of sub-section (5) of the Section 230 of the Act and Rule 8 of the Companies (CAA) Rules, 2016, of aforesaid meetings in Form No. CAA 3 with a copy of the Composite Scheme of Amalgamation and Arrangement to the (i) Central Government

through the Regional Director, North Western Region; (ii) the Registrar of Companies, Gujarat; (iii) the Official Liquidator concerned (for transferor company only); and (iv) the concerned Income Tax authorities by informing them that their representations/comments, in respect of the present company scheme, to be filed within a period of 30 days from the date of receipt of such notice, failing which it would be presumed that they are having no objection to make on the proposed Scheme. Such notices are to be sent forthwith by registered post / by speed post or by courier or by hand delivery / E-mail at the office of the authority as required under sub-rule(2) of Rule 8 of the Companies (CAA) Rules, 2016.

13. At least one month before the date of aforesaid meetings, a notice in Form CAA 2 conveying the aforesaid meetings indicating the day, date, place and the time as aforesaid; containing the instructions pertaining to the postal ballot together with a copy of Scheme of Arrangement in the nature of Amalgamation, a copy of the statement required to be furnished pursuant to Section 102 of the Act read with Section 230 to 232 of the Act and Rule 6 of the Companies(CAA) Rules 2016 and prescribed form of proxy shall be sent to each of Secured Creditors of Applicant Transferor Company and Applicant Transferee Company and Unsecured

Creditors of Applicant Transferor Company and Applicant Transferee Company at their respective registered or last known addresses/ E-mail Addresses either by Registered Post/Speed Post or by Courier or by E-mail or by Hand Delivery. The notices shall be sent in reference to the list of the persons appearing on record of the respective Applicant Companies.

14. At least one month before the date of the aforesaid meetings, an advertisement about convening of the said meetings, indicating the day, date, place and time, as aforesaid, shall be published once in English Daily **"Business Standard"** Ahmedabad Edition and Gujarati daily **"Jai Hind"** Ahmedabad Edition. The publication shall indicate the time within which copies of scheme shall be made available to the concerned persons free of charge from the registered office of the respective Applicant Companies. The publication shall also indicate that the statement required to be furnished pursuant to Section 102 of the Act read with Sections-230 to 232 of the Act and the prescribed form of proxy can be obtained free of charge at the registered office of the respective Applicant Companies in accordance with second proviso to sub-section (3) of Section 230 and Rule 7 of the Companies (CAA) Rules, 2016.

15. Mr. Satwik Durkal (Membership No. 107628), practicing Chartered Accountant and in absence of him Mrs. Komal Majmudar (Membership No. 140766), practicing Chartered Accountant, is appointed as a Chairman of all the aforesaid meetings of Applicant Companies.

16. Mr. Umesh Parikh, PCS (Membership No. F4152) and in absence of him Mr. Uday Dave, PCS (Membership No. F6545) is appointed as a Scrutinizer for the said meeting.

17. The Chairman or Chairperson appointed for the aforesaid meetings shall issue the advertisements and send out the notices of the meetings referred to the above. The Chairman/Chairperson is free to avail the services of the Transferee Company or any agency for carrying out the aforesaid directions.

18. The Chairman or Chairperson shall have all powers under the Articles of Association of the Applicant Companies and also under the Rules in relation to the conduct of meetings, including for deciding any procedural questions that may arise at the meetings to the aforesaid scheme or resolution, if any, proposed at the aforesaid meetings by any person(s) and to ascertain the decision of the meetings of the Secured and Unsecured Creditors of Applicant Companies by polling paper/ballot.

19. The Quorum of the meeting of the Secured and Unsecured Creditors of the Applicant Transferor Company and Applicant Transferee Company shall be as per the rules and in compliance of Section 230(6) of the Companies Act, 2013. The meetings shall be conducted as per applicable provisions of law.

20. It is, however, clarified that in view of para A (x) of the MCA Circular No. 14/2020 dated 8th April 2020, in case of meetings through video conference or other audio visual means, the voting through Proxy shall not be permitted. However, voting through Authorized Representative is permitted.

21. The Chairman shall file affidavit not less than 7(seven) days before the date fixed for the holding of the aforesaid meetings and to report to this Tribunal that the directions regarding issuance of notices and advertisement of the meeting have been duly complied with as per Rule 12 of the Companies (CAA) Rules, 2016.

22. It is further ordered that the Chairman shall report to this Tribunal on the result of the meeting in Form No. CAA 4, verified by his affidavit, as per Rule 14 of the Companies (CAA) Rules, 2016 within 7 (Seven) days of the meeting.

23. We direct the applicants to pay the Chairperson a sum of Rs. 50,000/- and to the Scrutinizer a sum of Rs. 25,000/- as their fees.

24. List the matter on 05.09.2023 for filing report by the Chairman.

-sd-	-sd-
KAUSHLENDRA KUMAR SINGH	**SHAMMI KHAN**
MEMBER (TECHNICAL)	**MEMBER (JUDICIAL)**